



China Real Estate

Demand reawakens: Affordability at a decade-best level

**Equities
REMD**

China

- ◆ Price-to-income ratio has reset to 10-year-ago levels, which should help strengthen resale liquidity
- ◆ Home price corrections and lower mortgage rates are bringing “affordable” units back within reach for families
- ◆ Key picks: Prefer CRL and C&D, both Buy-rated

Improved affordability supporting mass market demand: We believe the recent sector rally can regain momentum as fundamentals improve ([Still early in the rally](#), 7 May 2026). While the supply side is progressing well ([Construction decline: Less built, less left](#), 18 May 2026), we think the demand side is also better supported by improved housing affordability. This improved affordability has revived mass market demand, evidenced by secondary transactions mainly driven by units valued below RMB3m, which we believe will help stabilise home price expectations ([From ‘exit’ to ‘upgrade’: why resale liquidity matters](#), 24 March 2026). This more balanced demand structure also eases investors’ concerns that high-end demand is insufficient to support the whole market, helping establish a new equilibrium across products.

Benefits from the double declines: While home price declines have been well received as the core driver of improved housing affordability, we think the impact of mortgage interest savings has been underestimated. We calculate that the monthly payment for a 70 sqm home now accounts for 50% of a household’s disposable income in Shanghai, vs 82% in 2021. This corresponds to monthly interest savings of 42% against an assumption that home prices corrected c15%. The significant and broad-based improvement in housing affordability should in turn enhance secondary market liquidity, which encourages home purchase decisions while rebuilding household confidence in home ownership.

Why does it matter for developers? We believe the next critical focus should be the primary market once the secondary market has recovered. A more liquid resale market can help unleash demand for upgrader projects, where the quick sell-through and price uplift will be more powerful drivers of market sentiment and a crucial gauge of developers’ pricing power. We therefore suggest close monitoring of the ongoing sales of developers’ signature projects ([May holiday pulse check: Busy sites, better sales](#), 8 May 2026). Specifically, we expect a quicker playing out of such secondary-to-primary transmission effect in cities experiencing a supply squeeze ([Construction decline: Less built, less left](#), 18 May 2026).

Key picks: We continue to prefer CRL and C&D (both Buy) among developers for their rich pipeline of premium projects. We also highlight that C&D still has room to catch up in terms of y-t-d share price performance ([Catch-up in play with more upside potential](#), 12 May 2026).

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Where are we now on affordability?

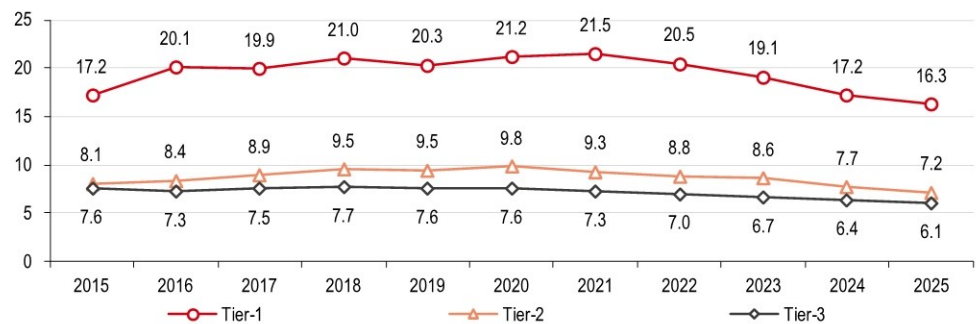
Housing affordability has reset to 10-year-ago levels, and the impact of mortgage interest savings has been underestimated

We assess housing affordability across 106 cities using two complementary metrics: (1) home price affordability and (2) monthly mortgage payment affordability.

Our findings suggest that affordability has improved materially across all city tiers, driven by both home-price corrections and lower mortgage rates. The channel of mortgage interest savings is particularly pronounced in tier-1 cities, where higher unit prices make monthly repayment more sensitive to interest-rate cuts.

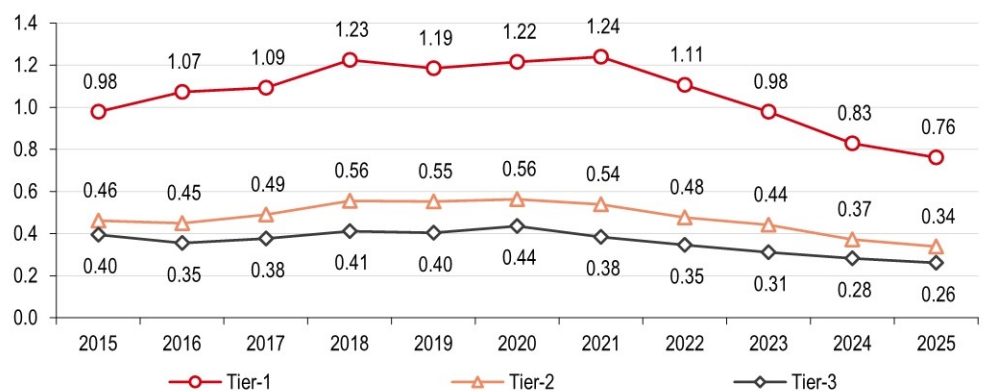
1. Home price affordability: We define home price affordability as the ratio of the average home price per unit to household disposable income, calculated as $\text{ASP} \times \text{urban living space per capita} / \text{annual disposable income of urban residents}$. This metric captures improvements in affordability driven by home price corrections.
2. Monthly mortgage payment affordability: We define monthly mortgage payment affordability as $\text{monthly mortgage payment} / \text{household disposable income}$, which helps quantify how lower mortgage rates have improved affordability.

Figure 1: Broad-based improvement in home price affordability on par with the level a decade ago



Note: (1) Home price affordability is calculated as home price per unit divided by household disposable income in each city (total 106 cities). (2) Average home price per unit in each city is calculated as city primary home ASP multiplied by an assumed average home size based on NBS and population census data.
 Source: CREIS, NBS, National Population Census 2020, HSBC estimates

Figure 2: Improved mortgage payment ability



Note: (1) Mortgage payment ability is measured as mortgage payment versus household disposable income. (2) Monthly mortgage rate used in the calculation refers to the weighted average interest rate of household mortgage loans by financial institutions.
 Source: CREIS, NBS, PBoC, National Population Census 2020, Beike, Wind, Rong 360, HSBC estimates

Limitations of the affordability framework

1. Income proxy and HPF treatment: City-average disposable income likely understates the income of homebuyers (vs renters). In addition, disposable income excludes Housing Provident Fund (HPF) contributions, which can offset mortgage payments.
2. Living space: Using a uniform per-capita living-space assumption (2020 National Population Census) across 2015-25 and all cities ignores variations over time and across city tiers (typically smaller in tier-1, larger in lower tiers).

Why does affordability become important again?

In Shanghai, home ownership is back within reach for average-income families – no longer the preserve of high-income households

Taking Shanghai as an example, housing affordability has improved to a level where home ownership is no longer limited to higher-income households. Lower home prices and mortgage rates have significantly reduced the monthly repayments, bringing home purchases back within reach for average-income families, and materially expanding the pool of eligible buyers.

For a typical 70 sqm unit in Shanghai, we estimate monthly mortgage payments under either pure commercial mortgage or a blended commercial + HPF loan have fallen to below 50% of average household income. Crossing this 50% threshold is meaningful because banks typically won't approve loans if repayments exceed 50% of monthly income.

While our assumptions (a flat rate rather than an LPR-linked floating rate, plus a standard 30% down payment and a 20-year tenor) may not capture borrower-level heterogeneity and complexity in practice, the scale and direction of the affordability improvement are clear.

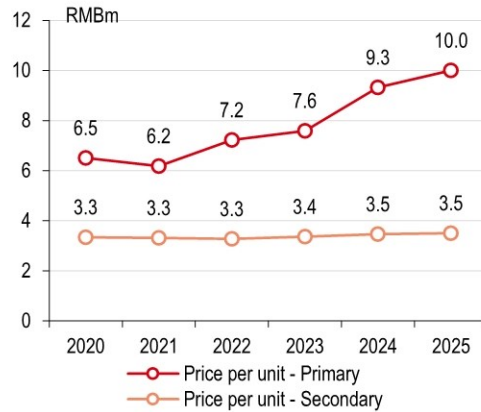
This matters because the secondary market accounts for 57% of Shanghai's transactions, while units priced below RMB3m represent a sizeable 64% of secondary volumes. Better affordability for older, lower-ticket units should therefore support resilient secondary-market activity as purchase restrictions ease (see [Policy continuity to safeguard recovery](#), 30 April). Recent headlines also suggest Shanghai's daily secondary transactions have repeatedly hit new highs.

Figure 3: Monthly mortgage payment saving for a 70 sqm home – Shanghai as an example

	2021	Current
Commercial loan mortgage rate	5.00%	3.05%
HPF loan mortgage rate	3.25%	2.60%
Mortgage period*	20 years	20 years
Down payment ratio*	30%	30%
Home price (RMBm)	2.8	2.4
Average household disposable income (RMB)	15,900	18,700
Monthly payment (RMB) – commercial loans only	13,000	9,400
As % of disposable income	82%	50%
Monthly payment (RMB) – loan mix	12,100	9,000
As % of disposable income	76%	48%

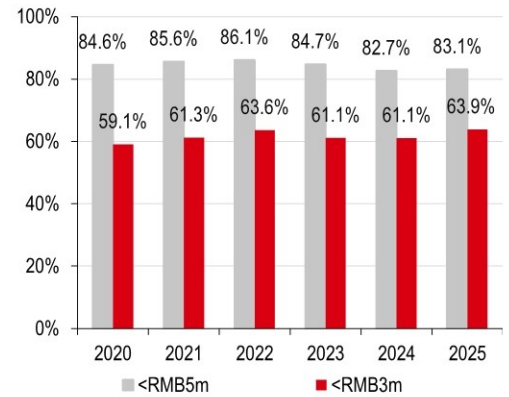
Note: (1) *Are our assumptions. (2) Household disposable = Average household size in Shanghai × Shanghai residents disposable income in 2021 and 2025, respectively. (3) Home price = 70 sqm × ASP per sqm (take the lower of the primary and secondary ASP). For 2021, we use the secondary ASP of RMB40,219 (statistical bureau), and for current, secondary ASP of RMB34,429 as of 26 March (CRIC). (4) Data is rounded to the nearest hundred for simplicity of showing.
 Source: Shanghai Statistical Yearbook, CRIC, Shanghai Statistical Bureau, HSBC estimates

Figure 4: Shanghai: Secondary homes feature much higher affordability than new homes



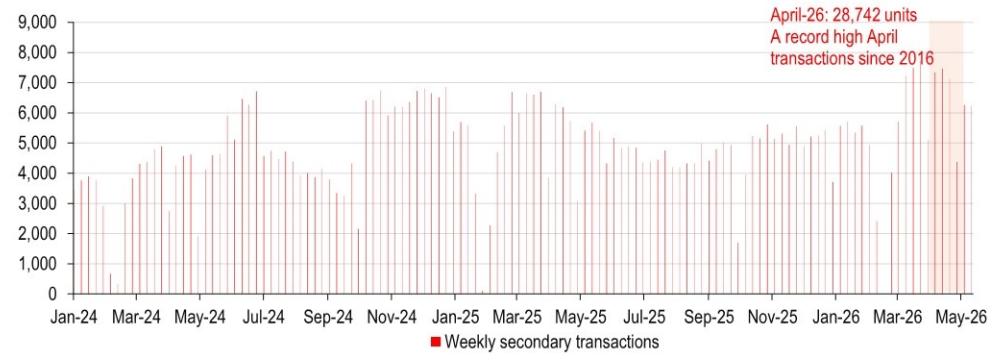
Source: CREIS, CRIC, Anjuke, Lianjia, HSBC estimates

Figure 5: Shanghai: Units <RMB3m account for 64% of secondary transactions



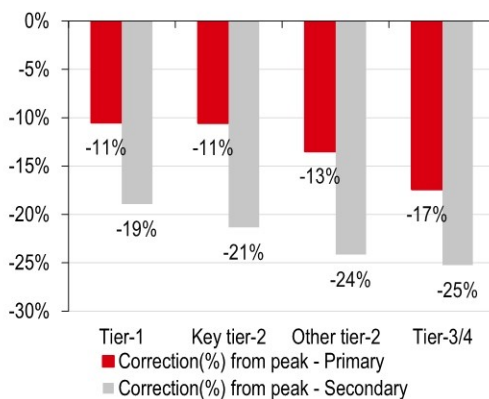
Source: Wind, HSBC

Figure 6: Shanghai April secondary transactions hit a new high since 2016



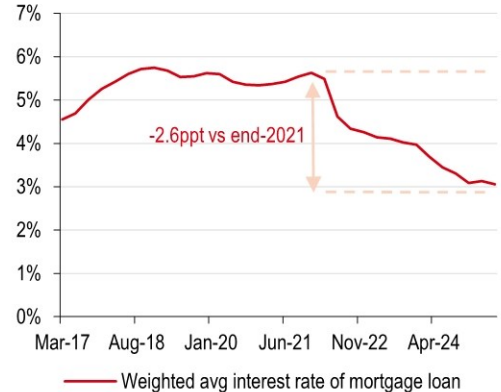
Source: Wind, HSBC

Figure 7: Home prices correct 11-25% from the peak as of March 2026



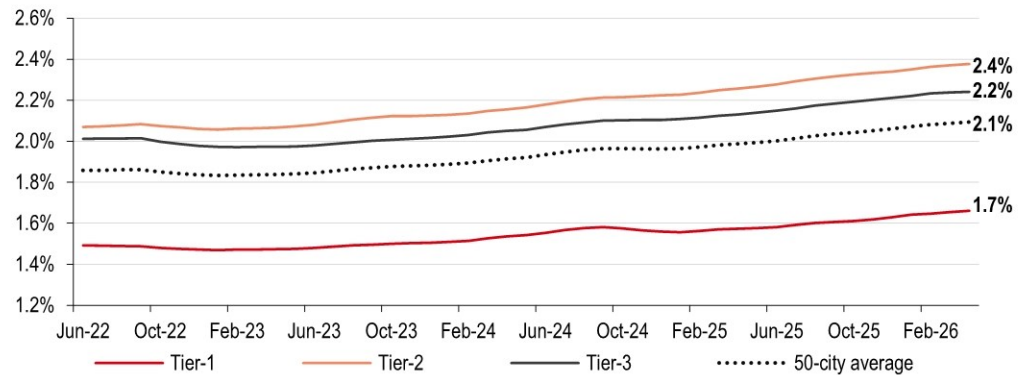
Source: NBS, HSBC

Figure 8: Mortgage rate down 2.6ppt from the last peak



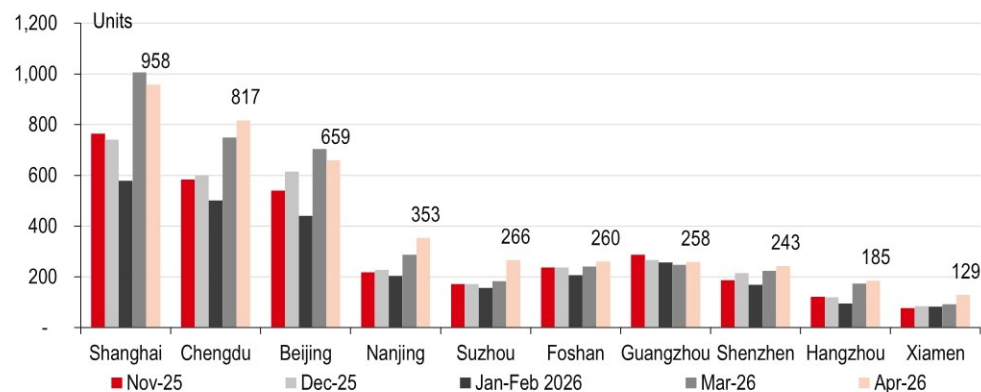
Source: Wind, HSBC

Figure 9: Increasing attractiveness of rent yields



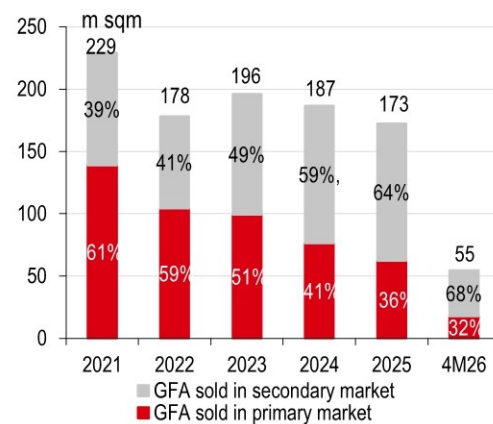
Source: CREIS, NBS, HSBC estimates

Figure 10: April daily secondary transactions hold up the March sales momentum



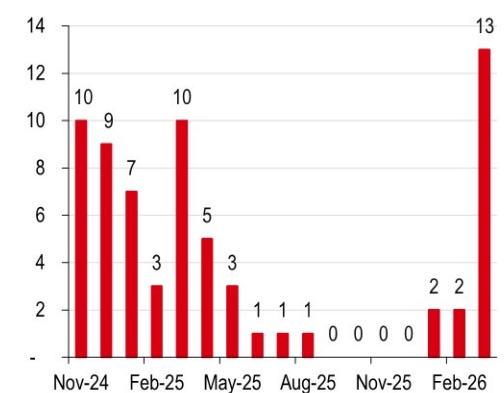
Source: Wind, City Housing Bureau, HSBC

Figure 11: Secondary transactions are accounting for a growing share in 13 key cities



Note: 13 cities include 4 tier-1 cities, and Hangzhou, Chengdu, Qingdao, Suzhou, Xiamen, Nanning, Dongguan, Yangzhou, and Foshan
Source: Wind, HSBC

Figure 12: Number of cities seeing positive m-o-m trend of secondary ASP surges



Source: NBS, HSBC

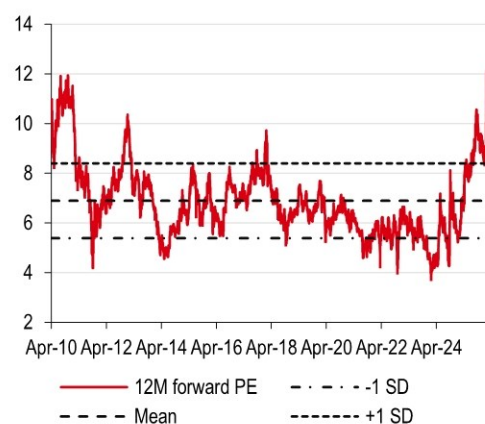
Figure 13: Valuation summary

Company	Ticker	Rating	Share price (HKD)	Target price (HKD)	Mkt cap (USDbn)	3M ADTV (USDm)	NAV (HKD/sh)	(Disc)/Prem (%)	2025a	PE (x) 2026e	2027e	Yield (%) 2026e	PB (x) 2025a	Net gearing (%)
Property developers														
C&D Int'l	1908 HK	Buy	15.88	19.90	4.5	14.0	42.4	(63)	7.8	6.9	6.5	7.2	0.7	25
COLI	688 HK	Buy	15.60	16.50	21.8	51.5	25.7	(39)	11.4	12.4	11.6	3.1	0.4	33
CR Land	1109 HK	Buy	35.10	43.80	31.9	84.4	55.5	(37)	9.6	9.1	8.6	4.1	0.7	39
China Vanke	2202 HK	Reduce	2.70	2.50	5.7	10.7	5.9	(54)	n.m.	n.m.	n.m.	-	0.3	108
CIFI	884 HK	Hold	0.06	0.08	0.1	0.9	0.5	(87)	n.m.	n.m.	n.m.	-	0.0	81
Country Garden	2007 HK	Hold	0.23	0.30	1.4	13.0	1.9	(88)	1.7	n.m.	n.m.	-	n.m.	n.m.
China Jinmao	817 HK	Hold	1.70	1.50	2.9	9.7	3.5	(51)	28.3	29.4	27.6	1.2	0.5	76
Greentown China	3900 HK	Hold	9.43	9.50	3.1	13.6	17.9	(47)	n.m.	30.8	11.6	1.5	0.6	65
Longfor	960 HK	Hold	8.21	8.60	7.4	20.1	25.4	(68)	n.m.	38.5	14.2	0.8	0.3	48
Seazen	1030 HK	Buy	1.96	3.00	1.8	5.6	7.4	(74)	31.4	8.9	6.4	-	0.3	59
Shenzhen Inv	604 HK	Hold	0.79	0.70	0.9	1.1	2.2	(64)	14.0	23.6	15.4	-	0.2	91
Yanlord (SGD)	YLLG SP	Hold	0.69	0.53	1.0	2.5	1.6	(57)	n.m.	18.5	17.3	-	0.2	34
Yuesiu	123 HK	Buy	4.33	5.10	2.2	5.8	14.7	(71)	58.0	14.5	9.2	2.8	0.3	69
Average								(62)	20.3	19.3	12.8	1.6	0.4	61
Property brokerage service providers														
KE Holdings (Beike) (USD)	BEKE US	Buy	16.89	23.30	21.1	74.6	n.a.	n.a.	25.2	17.1	14.1	2.2	2.0	net cash
Property managers														
COPL	2669 HK	Hold	3.80	4.30	1.6	4.9	n.a.	n.a.	6.8	6.4	6.0	5.1	1.6	net cash
CR Mixc	1209 HK	Hold	44.74	48.00	13.0	17.0	n.a.	n.a.	22.4	20.3	18.7	4.9	4.9	net cash
CG Services	6098 HK	Hold	6.07	6.10	2.5	5.7	n.a.	n.a.	7.0	6.4	5.6	9.3	0.5	net cash
Greentown Serv	2869 HK	Buy	4.56	5.10	1.8	1.8	n.a.	n.a.	14.1	12.7	11.6	5.7	1.5	net cash
Sunac Services	1516 HK	Hold	0.98	0.90	0.4	1.8	n.a.	n.a.	7.3	4.5	4.4	1.3	0.5	net cash
Average									11.5	10.1	9.3	5.3	1.8	

Note: Priced as of 21 May 2026. NA – Not applicable/available. NM – Not meaningful.
Source: Bloomberg, HSBC estimates

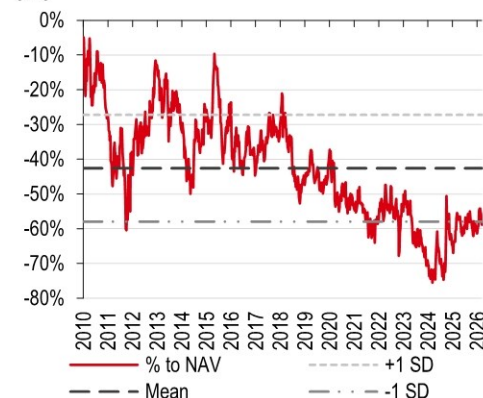
Valuation charts

Figure 14: SOE developers' forward PE (x)

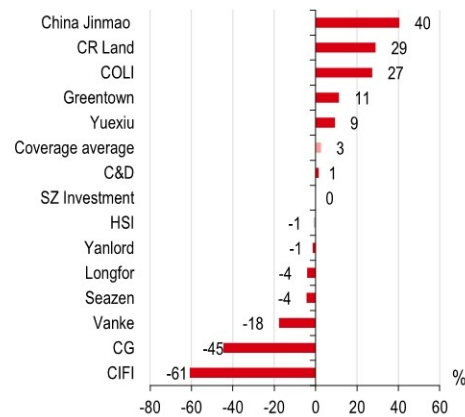


Note: The average forward PE multiples of COLI, CRL, Vanke, Greentown, Yuesiu, C&D Int'l, and Longfor are based on Bloomberg consensus.
Source: Bloomberg, HSBC

Figure 15: SOE developers' NAV discount (%)



Source: Bloomberg, HSBC estimates

Figure 16: 2026 y-t-d share price performance


Note: Priced as of 21 May 2026.
 Source: Bloomberg, HSBC

Figure 17: SOE developers' trailing PB (x)


Note: The average trailing PB multiples of COLI, CRL, Vanke, Greentown, Yuexiu, and C&D International are based on monthly data.
 Source: Bloomberg, HSBC

Valuation and risks

Valuation		Risks to our view
CR Land 1109 HK Buy	Current price: HKD35.10 Target price: HKD43.80 Upside: +24.8%	Methodology: The NAV is calculated by adding up the gross asset values (GAVs) of development projects (DPs) and investment projects (IPs), then subtracting net debt, based on company reports. Our assignment of a target discount is on a relative basis; companies that share similar operational/financial strengths and execution track records should be assigned the same target discount. Assumptions: A NAV discount of 21%, set at 1 SD above the historical mean, is applied to our NAV per share estimate of HKD55.50 (all unchanged). We use a discount that is 1 SD above the historical mean in the valuation to reflect CR Land's increase in sales momentum, strong recurrent income, and solid execution track record. Our unchanged target price of HKD43.80 implies c25% upside from current levels. We maintain our Buy rating on the stock as it is supported by the potential to unlock the value of its IP portfolio and a promising margin recovery trajectory. Michelle Kwok* michellekwok@hsbc.com.hk +852 2996 6918
	Key downside risks ◆ Inability to maintain sales momentum. ◆ Lower-than-expected margins. ◆ Any material slowdown in the shopping mall segment. ◆ Inability to maintain dividend stability. ◆ Uncertainties related to macroeconomic and property-specific policies.	
C&D International 1908 HK Buy	Current price: HKD15.88 Target price: HKD19.90 Upside: +25.3%	Methodology: The NAV is calculated by adding up the gross asset values (GAVs) of development projects (DPs) and investment projects (IPs), then subtracting net debt, based on company reports. Our assignment of a target discount is on a relative basis; companies that share similar operational/financial strengths and execution track records should be assigned the same target discount. Assumptions: A NAV discount of 53%, set at 0.25 SD above the historical mean, is applied to our NAV per share estimate of HKD42.40 (all unchanged). We use a discount that is 0.25 SD above the historical mean to reflect the encouraging margin recovery trend and unique competitive edge supported by a young landbank. Our unchanged target price of HKD19.90 implies c25% upside from current levels. We maintain our Buy rating on the stock due to its young land bank and relatively high earnings visibility. Stephen Wang*, CFA stephen.wang@hsbc.com.hk +852 2284 1675
	Key downside risks ◆ Land acquisition slowdown. ◆ Sharp sales deterioration. ◆ Steep margin compression. ◆ Share placement at deep discounts. ◆ JV project risks. ◆ Policy uncertainties.	

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 Source: Bloomberg, HSBC estimates

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Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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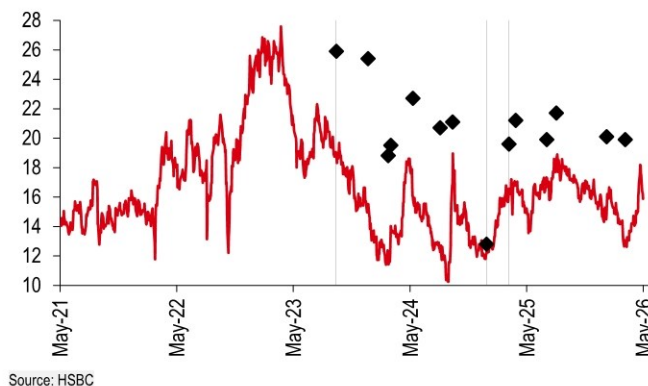
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

C&D International (1908.HK) share price performance HKD Vs HSBC rating history



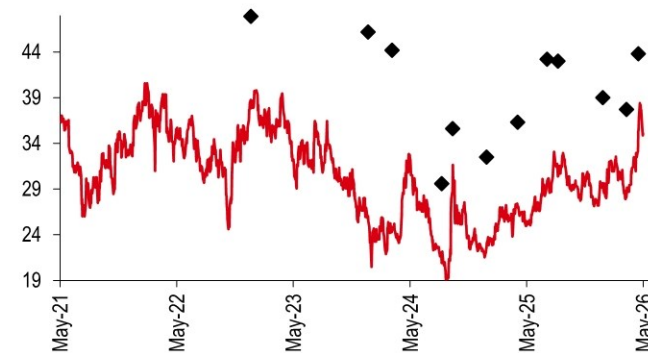
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	03 Oct 2023	Stephen Wang, CFA
Buy	Hold	16 Jan 2025	Stephen Wang, CFA
Hold	Buy	27 Mar 2025	Stephen Wang, CFA
Target price	Value	Date	Analyst
Price 1	25.90	03 Oct 2023	Stephen Wang, CFA
Price 2	25.40	11 Jan 2024	Stephen Wang, CFA
Price 3	18.80	14 Mar 2024	Stephen Wang, CFA
Price 4	19.50	22 Mar 2024	Stephen Wang, CFA
Price 5	22.70	30 May 2024	Stephen Wang, CFA
Price 6	20.70	23 Aug 2024	Stephen Wang, CFA
Price 7	21.10	01 Oct 2024	Stephen Wang, CFA
Price 8	12.80	16 Jan 2025	Stephen Wang, CFA
Price 9	19.60	27 Mar 2025	Stephen Wang, CFA
Price 10	21.20	17 Apr 2025	Stephen Wang, CFA
Price 11	19.90	23 Jul 2025	Stephen Wang, CFA
Price 12	21.70	22 Aug 2025	Stephen Wang, CFA
Price 13	20.10	27 Jan 2026	Stephen Wang, CFA
Price 14	19.90	26 Mar 2026	Stephen Wang, CFA

Source: HSBC

China Resources Land (1109.HK) share price performance HKD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	12 Aug 2015	Michelle Kwok
Target price	Value	Date	Analyst
Price 1	47.90	09 Jan 2023	Michelle Kwok
Price 2	46.20	11 Jan 2024	Michelle Kwok
Price 3	44.20	26 Mar 2024	Michelle Kwok
Price 4	29.60	28 Aug 2024	Michelle Kwok
Price 5	35.60	01 Oct 2024	Michelle Kwok
Price 6	32.50	16 Jan 2025	Michelle Kwok
Price 7	36.30	23 Apr 2025	Michelle Kwok
Price 8	43.20	24 Jul 2025	Michelle Kwok
Price 9	43.00	27 Aug 2025	Michelle Kwok
Price 10	39.00	15 Jan 2026	Michelle Kwok
Price 11	37.70	30 Mar 2026	Michelle Kwok
Price 12	43.80	06 May 2026	Michelle Kwok

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
C&D INTERNATIONAL	1908.HK	15.88	21 May 2026	4
CHINA RESOURCES LAND	1109.HK	35.10	21 May 2026	1, 4, 5, 6, 7, 11

Source: HSBC

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